

2d. Content of Component 2: Macroeconomics (H460/02)

Component 2 focuses on macroeconomics. Students will learn how the macroeconomy functions on both a domestic and global level and develop an understanding of the objectives, limitations and conflicts of macroeconomic policies. Students will use, interpret and evaluate quantitative evidence in contemporary and historical economic contexts. They

will learn to appreciate the importance and impact of international trade, globalisation and the role of financial markets. Students are encouraged to consider moral, ethical and sustainability issues that arise as a result of economic activity in a range of national and global contexts.

Please note: For use and meaning of command words in our assessments, please see Section 3c.

1. Aggregate demand and aggregate supply

Topic	Students should be able to:
1.1 Circular flow of income	Explain: • The circular flow of income, with injections and leakages • The methods of measuring national income, output and expenditure